



Foreign Exchange Asia Chart Alert

Date
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The RMB flow story still has legs

Net USD selling by clients through banks picked up pace in June, reaching its highest level since February at \$57.4bn, and bringing the 3MMA to \$47bn. The selling continues to be driven primarily by robust FX conversion from exporters, a trend consistent with China's expanding trade surplus and corroborated by our [proprietary EPIC data](#), which continues to signal active corporate RMB conversion demand.

The exporter conversion ratio rebounded sharply in the latest reading, to 64.5%, versus 58.2% in May, though the 3MMA is still looking poor because of the weak April reading.

We expect the exporter conversion activity to remain firm in the second half of the year. The lower USD/CNY fix suggests policymakers are becoming more tolerant of RMB appreciation, which increases the opportunity cost for exporters of holding USD receipts. Even if the conversion ratio stabilizes at current levels, the continued expansion of China's trade surplus would increase the volume of export proceeds available for conversion.

To be sure, a recovery in outbound capital flows could moderate appreciation pressure for the RMB, and this is a dynamic visible in the SAFE's net FX receipt and payment data (which capture overall cross-border flows including exporter conversion activity). In June, portfolio flows shift from a net inflow of \$18bn to a net outflow of \$36bn despite continued foreign purchases of CGBs (~\$1bn). But the overall balance of flows remains supportive. We remain short USD/CNH positions via options.

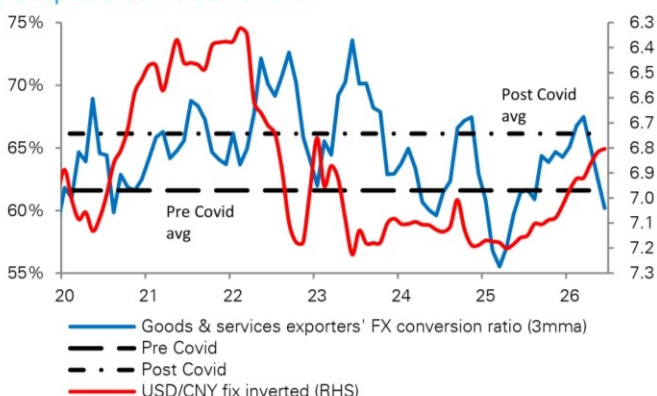
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Figure 1: Net USD selling rebounds as exporters' FX conversion gains traction



Figure 2: Exporters' FX conversion has rebounded despite a still-weak 3MMA





Appendix 1

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